



## *Report of the Statutory Auditors on the Ordinary Audit*

with financial statements as at 31. Dezember 2023 and previous year  
der

Duro Steel AG  
6003 Luzern, Switzerland



REPORT OF THE STATUTORY AUDITOR  
To the General Meeting of  
Duro Steel AG, Luzern, Switzerland

## Report on the Audit of the Financial Statements

### Opinion

We have audited the financial statements of Duro Steel AG, which comprise the statement of financial position as at 31. Dezember 2023 and the statement of income for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements comply with Swiss law and the Company's articles of incorporation.

### Basis for opinion

We conducted our audit in accordance with Swiss law and Swiss Standards on Auditing (SA-CH). Our responsibilities under those provisions and standards are further described in the "Auditor's Responsibilities for the Audit of the Financial Statements" section of our report. We are independent of the Company in accordance with the provisions of Swiss law and the requirements of the Swiss audit profession, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

### Other Information

The Board of Directors is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

## Board of Directors' Responsibilities for the Financial Statements

The Board of Directors is responsible for the preparation of the financial statements in accordance with the provisions of Swiss law and the Company's articles of incorporation, and for such internal control as the Board of Directors determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Board of Directors is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern, and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

## Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Swiss law and SA-CH will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on EXPERTsuisse's website at: <https://www.expertsuisse.ch/en/audit-report>. This description forms an integral part of our report.

## Report on Other Legal and Regulatory Requirements

In accordance with Art. 728a para. 1 item 3 CO and PS-CH 890, we confirm that an internal control system exists, which has been designed for the preparation of the financial statements according to the instructions of the Board of Directors.

Furthermore, we confirm that the proposed appropriation of available earnings complies with Swiss law and the Company's articles of incorporation. We recommend that the financial statements submitted to you be approved.

ConSinius Treuhand AG  
Dietikon, 15. Juli 2024



Richard J. Fischer  
Auditor in charge  
Licensed audit expert

Enclosures: Financial statements

Duro Steel AG  
6003 Luzern, Switzerland

## Balance Sheet as at 31.12.

| Assets                                    | 31.12.2023<br>CHF | 31.12.2022<br>CHF |
|-------------------------------------------|-------------------|-------------------|
| Petty cash                                | 5                 | 5                 |
| Bank accounts                             | 66'633            | 699'871           |
| <b>Cash and cash equivalents</b>          | <b>66'638</b>     | <b>699'876</b>    |
| Due from third parties                    | 10'603'864        | 8'423'060         |
| Provision for accounts receivable         | 0                 | -1'157'338        |
| <b>Accounts receivable</b>                | <b>10'603'864</b> | <b>7'265'722</b>  |
| Due from third parties                    | 814'845           | 672'553           |
| Due from shareholders and related parties | 0                 | 1'026'335         |
| <b>Other short-term receivables</b>       | <b>814'845</b>    | <b>1'698'887</b>  |
| Inventory                                 | 3'581'204         | 4'965'098         |
| <b>Inventories</b>                        | <b>3'581'204</b>  | <b>4'965'098</b>  |
| <b>Current assets</b>                     | <b>15'066'551</b> | <b>14'629'584</b> |
| Participations / Investments              | 908'591           | 520'398           |
| <b>Participations / Investments</b>       | <b>908'591</b>    | <b>520'398</b>    |
| <b>Fixed assets</b>                       | <b>908'591</b>    | <b>520'398</b>    |
| <b>Total Assets</b>                       | <b>15'975'142</b> | <b>15'149'982</b> |

Duro Steel AG  
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## Balance Sheet as at 31.12.

| Liabilities and Shareholder's Equity              | 31.12.2023<br>CHF | 31.12.2022<br>CHF |
|---------------------------------------------------|-------------------|-------------------|
| Due to third parties                              | 3'902'177         | 5'023'467         |
| <b>Accounts payable</b>                           | <b>3'902'177</b>  | <b>5'023'467</b>  |
| Due to banks                                      | 4'593'148         | 6'363'651         |
| Due to shareholders and related parties           | 2'512'286         | 0                 |
| <b>Short-term interest-bearing liabilities</b>    | <b>7'105'434</b>  | <b>6'363'651</b>  |
| Due to third parties                              | 0                 | 48'219            |
| <b>Other short-term liabilities</b>               | <b>0</b>          | <b>48'219</b>     |
| <b>Accrued expenses and deferred income</b>       | <b>141'030</b>    | <b>50'083</b>     |
| <b>Short-term liabilities</b>                     | <b>11'148'641</b> | <b>11'485'420</b> |
| <b>Covid Loan</b>                                 | <b>365'402</b>    | <b>434'780</b>    |
| Due to shareholders and related parties           | 823'936           | 0                 |
| <b>Long-term interest-bearing liabilities</b>     | <b>823'936</b>    | <b>0</b>          |
| <b>Long-term third party capital</b>              | <b>1'189'339</b>  | <b>434'780</b>    |
| <b>Liabilities</b>                                | <b>12'337'980</b> | <b>11'920'200</b> |
| <b>Share capital</b>                              | <b>375'000</b>    | <b>375'000</b>    |
| Other legal reserves                              | 115'000           | 115'000           |
| <b>Legal reserve</b>                              | <b>115'000</b>    | <b>115'000</b>    |
| Result carried forward                            | 2'739'781         | 2'457'623         |
| Annual Result                                     | 407'380           | 282'158           |
| <b>Retained Earnings Available</b>                | <b>3'147'162</b>  | <b>2'739'781</b>  |
| <b>Shareholder's Equity</b>                       | <b>3'637'162</b>  | <b>3'229'781</b>  |
| <b>Total Liabilities and Shareholder's Equity</b> | <b>15'975'142</b> | <b>15'149'982</b> |

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Profit and loss statement for 01.01. - 31.12.

| Profit and loss statement                                                     | 2023<br>CHF        | 2022<br>CHF        |
|-------------------------------------------------------------------------------|--------------------|--------------------|
| Net proceeds from sales of goods and services                                 | 45'694'831         | 42'725'456         |
| <b>Net sales of goods and services</b>                                        | <b>45'694'831</b>  | <b>42'725'456</b>  |
| Cost of raw materials and supplies                                            | -39'003'963        | -36'524'065        |
| Cost of services from third parties                                           | -3'708'349         | -4'503'263         |
| <b>Costs for material, goods, services</b>                                    | <b>-42'712'312</b> | <b>-41'027'328</b> |
| <b>Gross operating result</b>                                                 | <b>2'982'519</b>   | <b>1'698'128</b>   |
| Office rent and clearing                                                      | -4'227             | -4'590             |
| Costs Dubai Branch                                                            | -506'316           | -522'963           |
| General administration expenses                                               | -638'161           | -381'484           |
| <b>Other operating expenses</b>                                               | <b>-1'148'703</b>  | <b>-909'037</b>    |
| <b>Earnings before interest, Taxes, Depreciation and Amortization (EBITA)</b> | <b>1'833'816</b>   | <b>789'091</b>     |
| <b>Earnings before Interest and Taxes (EBIT)</b>                              | <b>1'833'816</b>   | <b>789'091</b>     |
| Financial Income including currency gains                                     | 29'657             | 1'371'833          |
| Financial Expenses including currency losses                                  | -1'378'117         | -698'204           |
| <b>Financial expenses and revenue</b>                                         | <b>-1'348'460</b>  | <b>673'630</b>     |
| <b>Earnings before Taxes (EBT)</b>                                            | <b>485'356</b>     | <b>1'462'720</b>   |
| Extraordinary, unique or non-recurring expenses                               | 0                  | -1'157'338         |
| Extraordinary, unique or non-recurring period revenues                        | 22'024             | 13'376             |
| <b>Results of extraordinary or unique character</b>                           | <b>22'024</b>      | <b>-1'143'962</b>  |
| <b>Results of extraneous, extraordinary or unique character</b>               | <b>507'380</b>     | <b>318'758</b>     |
| <b>Direct Taxes</b>                                                           | <b>-100'000</b>    | <b>-36'600</b>     |
| <b>Annual Final Result</b>                                                    | <b>407'380</b>     | <b>282'158</b>     |

Duro Steel AG  
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## Notes to the Financial Statements

| Notes | 31.12.2023<br>CHF | 31.12.2022<br>CHF |
|-------|-------------------|-------------------|
|-------|-------------------|-------------------|

### Name, legal form and headquarter of the corporation

According to commercial register extract:  
UID-Nr. CHE-354.652.211  
Duro Steel AG  
Public limited company  
Headquarter: Luzern, Switzerland

### Accounting policies and principles

These financial statements have been prepared in accordance with the principles of the Swiss Law on Commercial Accounting and Financial Reporting (32nd title of the Swiss Code of Obligations). Where not prescribed by law, the significant accounting and valuation principles applied are described below.

Due to reclassifications in the balance sheet, the comparability to the prior year is limited.

### Trade accounts receivables

Trade accounts receivable and other short-term receivables are carried at their normal value.

### Inventory and non-invoices services

Inventories and unbilled services are recognised at acquisition or production costs. The production costs include all directly attributable material and manufacturing costs as well as the overhead costs for procurement, storage, etc. The acquisition costs are calculated using the weighted average method and the production costs are calculated using the standard cost accounting method. The net realisable value corresponds to the estimated sales proceeds minus the estimated costs of completion and the costs incurred for the sale. Valuation allowances are made for unsaleable inventories and inventories with low turnover rates.

### Foreign currencies

The exchange rates used for balance sheet items are the rates prevailing on December 31 of the Federal Tax Administration; the exchange rates used for items in the profit and lost statement are average rates for the financial year.

### Total number of employees

|                                              |           |           |
|----------------------------------------------|-----------|-----------|
| Annual average number of full-time employees | Below 250 | Below 250 |
|----------------------------------------------|-----------|-----------|

## Notes to the Financial Statements

| Notes                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 31.12.2023<br>CHF | 31.12.2022<br>CHF |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|-------------------|
| <b>Covid loan</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                   |                   |
| To secure liquidity, Duro Steel AG has taken out a guaranteed COVID 19 loan totalling CHF 500'000. The company started to repay the COVID 19 credit as of January 1, 2022. For the duration of utilization of the COVID credit, the company may not distribute any dividends or bonuses and may not make any repayments of capital contributions. In addition, there are further restrictions in connection with the provisions on capital loss or over-indebtedness according to Art. 725 of the Swiss Code of Obligations, the guaranteed COVID 19 loan in the amount of actual CHF 365'402 is not considered debt capital. | 365'402           | 434'780           |
| <b>Disclosures on items in the balance sheet and income statement</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                   |                   |
| Net Proceeds from sale of goods and services                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                   |                   |
| Sales Steel to third parties                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 45'956'636        | 42'266'287        |
| Sales commission payables                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | -135'476          | -137'895          |
| Quality claims                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | -49'584           | 705'011           |
| Discounts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | -76'746           | -107'947          |
| <b>Total Net Proceeds from sale of goods and services</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | <b>45'694'831</b> | <b>42'725'456</b> |
| <b>Extraordinary, non-recurring period expenses and income</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                   |                   |
| In previous year, extraordinary expenses included the creation of a provision in the amount of CHF 1,157,338, which is due to a receivable that is considered to be at risk as of the balance sheet date.                                                                                                                                                                                                                                                                                                                                                                                                                     | 0                 | -1'157'338        |
| Extraordinary income includes various extraordinary and prior-period write-offs.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 22'024            | 13'376            |



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## Proposed appropriation of the available earnings

| Appropriation                                       | 31.12.2023       | 31.12.2022       |
|-----------------------------------------------------|------------------|------------------|
|                                                     | CHF              | CHF              |
| Retained Earnings Available from previous year      | 2'739'781        | 2'457'623        |
| Annual result                                       | 407'380          | 282'158          |
| Total retained earnings available for appropriation | <b>3'147'161</b> | <b>2'739'781</b> |
| Result to be carried forward                        | 3'147'161        | 2'739'781        |
| Total retained earnings available for appropriation | <b>3'147'161</b> | <b>2'739'781</b> |